Category

Analyzing Statements of Cash Flows II

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EVALUATING SOURCES AND USES OF CASH

Learning Outcome

- analyze and interpret both reported and common-size cash flow statements

Evaluation of the cash flow statement should involve an overall assessment of the sources and uses of cash between the three main categories as well as an assessment of the main drivers of cash flow within each category, as follows:

Step 1: Evaluate the major sources and uses of cash flow, including operating, investing, and financing activities.

Step 2: Evaluate the primary determinants of operating cash flow.

Step 3: Evaluate the primary determinants of investing cash flow.

Step 4: Evaluate the primary determinants of financing cash flow.

Step 1. Evaluate the major sources and uses of cash flow

The major sources of cash for a company can vary with its stage of growth. For a mature company, it is expected and desirable that operating activities are the primary source of cash flows. Over the long term, a company must generate cash from its operating activities. If operating cash flow were consistently negative, a company would need to borrow money or issue stock (financing activities) to fund the shortfall. Eventually, these providers of capital need to be repaid from operations or they will no longer be willing to provide capital. Cash generated from operating activities can be used in either investing or financing activities. If the company has value-creative investment opportunities, it is desirable to use the cash in investing activities. If the company does not have profitable investment opportunities, the cash should be returned to capital providers, a financing activity.

For a new or growth stage company, operating cash flow may be negative for some period of time as it invests in such assets as inventory and receivables (extending credit to new customers) to grow the business. This situation is not sustainable over the long term, so eventually the cash must start to come primarily from operating activities so that capital can be returned to the providers of capital. Lastly, it is desirable that operating cash flows are sufficient to cover capital expenditures (in other words, the company has free cash flow as discussed further in Lesson 3). In summary, major points to consider at this step are:

- What are the major sources and uses of cash flow?
- Is operating cash flow positive and sufficient to cover capital expenditures?

Step 2. Evaluate the primary determinants of operating cash flow

Turning to the operating section, analysts should examine the most significant determinants of operating cash flow. Companies need cash for use in operations (e.g., to hold receivables and inventory and to pay employees and suppliers) and receive cash from operating activities (e.g., payments from customers). Increases and decreases in receivables, inventory, payables, and so on can be examined to determine whether the company is using or generating cash in operations and why.

It is also useful to compare operating cash flow with net income. For a mature company, because net income includes non-cash expenses (depreciation and amortization), it is expected and desirable that operating cash flow exceeds net income. The relationship between net income and operating cash flow is also an indicator of earnings quality. If a

the variability of both earnings and cash flow and consider the impact of this variability on the company's risk as well as the ability to forecast future cash flows for valuation purposes. In summary:

- What are the major determinants of operating cash flow?
- Is operating cash flow higher or lower than net income? Why?
- How consistent are operating cash flows?

Step 3. Evaluate the primary determinants of investing cash flow

Within the investing section, analysts should evaluate each line item. Each line item represents either a source or use of cash. This enables analysts to understand where the cash is being spent (or received). This section will reveal how much cash is being invested for the future in property, plant, and equipment; how much is used to acquire entire companies; and how much is put aside in liquid investments, such as stocks and bonds. It will also tell show how much cash is being raised by selling these types of assets. If the company is making major capital investments, analysts should consider where the cash is coming from to cover these investments (e.g., is the cash coming from excess operating cash flow or from the financing activities described in Step 4). If assets are being sold, it is important to determine why and to assess the effects on the company.

Step 4. Evaluate the primary determinants of financing cash flow

Within the financing section, analysts should examine each line item to understand whether the company is raising capital or repaying capital and what the nature of its capital sources are. If the company is borrowing each year, analysts should consider when repayment may be required. The financing section will also present dividend payments and repurchases of stock that are alternative means of returning capital to owners. It is important to assess why capital is being raised or repaid.

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EXAMPLE 1

Analysis of the Cash Flow Statement

Derek Yee, CFA, is preparing to forecast cash flow for Groupe Danone as an input into his valuation model. He reviews the historical cash flow statement of Groupe Danon for 2016 and 2017, which is presented in Exhibit 1, and excerpts from Danone's 2017 Registration Document, which is presented in Exhibit 2. Yee notes that Groupe Danone prepares its financial statements in conformity with International Financial Reporting Standards (IFRS).

Exhibit 1:

Groupe Danone Consolidated Financial Statements Consolidated Statements of Cash Flows (in EUR millions)

Years Ended 31 December	2016	2017
Net income	1,827	2,563
Share of profits of associates net of dividends received	52	(54)
Depreciation, amortization, and impairment of tangible and intangible assets	786	974
Increases in (reversals of) provisions	51	153
Change in deferred taxes	(65)	(353)
(Gains) losses on disposal of property, plant and equipment and financial investments	(74)	(284)
Expense related to group performance shares	24	22

Net change in interest income (expense)	—	80
Other components with no cash impact	13	(15)
Cash flows provided by operating activities, before changes in net working capital	**2,615**	**3,085**
(Increase) decrease in inventories	(24)	(122)
(Increase) decrease in trade receivables	(110)	(190)
Increase (decrease) in trade payables	298	145
Changes in other receivables and payables	(127)	40
Change in other working capital requirements	37	(127)
Cash flows provided by (used in) operating activities	**2,652**	**2,958**
Capital expenditure	(925)	(969)
Proceeds from the disposal of property, plant, and equipment	27	45
Net cash outflows on purchases of subsidiaries and financial investments	(66)	(10,949)
Net cash inflows on disposal of subsidiaries and financial investments	110	441
(Increase) decrease in long-term loans and other long-term financial assets	6	(4)
Cash flows provided by (used in) investing activities	**(848)**	**(11,437)**
Increase in capital and additional paid-in capital	46	47
Purchases of treasury stock (net of disposals) and Danone call options	32	13
Issue of perpetual subordinated debt securities	—	1,245
Interest on perpetual subordinated debt securities	—	—
Dividends paid to Danone shareholders	(985)	(279)
Buyout of non-controlling interests	(295)	(107)
Dividends paid	(94)	(86)
Contribution from non-controlling interests to capital increases	6	1
Transactions with non-controlling interests	(383)	(193)
Net cash flows on hedging derivatives	50	(52)
Bonds issued during the period	11,237	—
Bonds repaid during the period	(638)	(1,487)
Net cash flows from other current and non-current financial debt	(442)	(564)
Net cash flows from short-term investments	(10,531)	9,559
Cash flows provided by (used in) financing activities	**(1,616)**	**8,289**
Effect of exchange rate and other changes	(151)	272
Increase (decrease) in cash and cash equivalents	**38**	**81**
Cash and cash equivalents at beginning of period	519	557
Cash and cash equivalents at end of period	557	638
Supplemental disclosures		
Income tax payments during the year	(891)	(1,116)

Note: the numbers in the consolidated statement of cash flows were derived straight from company filings; some sub-totals may not sum exactly due to rounding by the company.

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Exhibit 2:

Excerpt from Groupe Danone 2017 Registration Statement

Footnote 2 to the financial statements:

"On July 7, 2016, Danone announced the signing of an agreement to acquire The WhiteWave Foods Company ("WhiteWave"), the global leader in plant-based foods and beverages and organic produce. The acquisition in cash, for USD 56.25 per

"Acquisition expenses recognized in Danone's consolidated financial statements totaled €51 million before tax, of which €48 million was recognized in 2016 in Other operating income (expense), with the balance recognized in 2017.

"WhiteWave's contribution to 2017 consolidated sales totaled €2.7 billion. Had the transaction been completed on January 1, 2017, the Group's 2017 consolidated sales would have been €25.7 billion, with recurring operating income of €3.6 billion.

"Meanwhile, integration expenses for the period totaled €91 million, recognized under Other operating income (expense)."

Overview of Activities:

"As part of its transformation plan aimed at ensuring a safe journey to deliver strong, profitable and sustainable growth, Danone set objectives for 2020 that include like-for-like sales growth between 4% and 5% …. a recurring operating margin of over 16% in 2020 … Finally, Danone will continue to focus on growing its free cash flow, which will contribute to financial deleverage with an objective of a ratio of Net debt/EBITDA below 3x in 2020. Danone is committed to reaching a ROIC level around 12% in 2020."

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1. What are the major sources and uses of cash for Groupe Danone?

Hide Solution

Solution:

The major categories of cash flows can be summarized as follows (in EUR millions):

	2016	2017
Cash flows provided by operating activities	2,652	2,958
Cash flows provided by (used in) investing activities	(848)	(11,437)
Cash flows provided by (used in) financing activities	(1,616)	8,289
Exchange rate effects on cash	(151)	272
Increase in cash	38	81

The primary source of cash for Groupe Danone in 2016 was operating activities of 2,652. During that year, the company spent 925 on capital expenditures, representing most of the outflow of 848 from investing activities. In 2017, however, the primary source of cash for Groupe Danone was from financing activities. The investing section shows significant use of cash in 2017 for purchase of subsidiaries within investing activities.

2. Is cash flow from operating activities sufficient to cover capital expenditures?

Hide Solution

Solution:

Yes, in both 2016 and 2017, there was sufficient operating cash flow to cover usual capital expenditures.

3. What is the relationship between net income and cash flow from operating activities?

Hide Solution

Solution:

Hide Solution

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Solution:

Footnotes disclose a major acquisition with an aggregate value of USD12.5 billion, some of which was funded through proceeds from an earlier bond issuance, which appears as a financing cash flow in the financing section for 2016.

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